Financial Inclusion in Europe

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August 2026

Motivation

Europe has high levels of account ownership, but this does not mean that financial inclusion is equal across countries or individuals.

Main idea

Financial inclusion should be studied not only as **access** to an account, but also as the **use** of financial services.

Research question

How does account ownership vary across European economies?

How are demographic and socioeconomic characteristics associated with different dimensions of financial inclusion within countries?

The analysis focuses on account ownership, digital payments, saving and borrowing.

Data

Global Findex 2021

- Individual-level survey data
- Adults aged 15+
- 38 European economies
- 38,600 respondents
- Survey weights applied

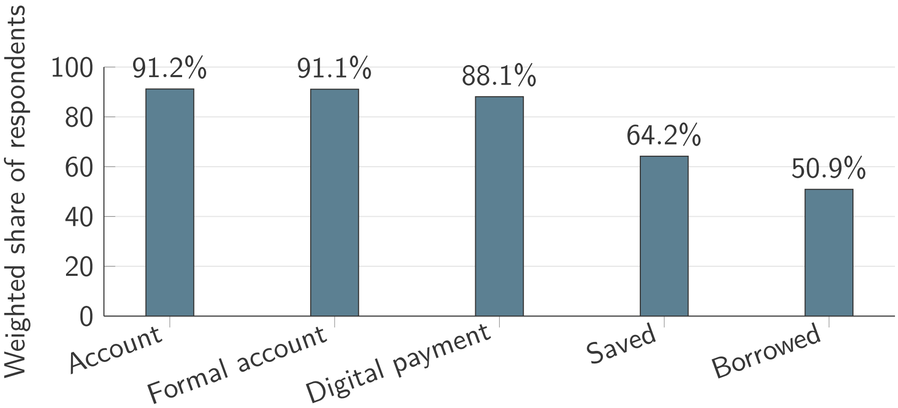
Main outcomes

- Account ownership
- Digital payment use
- Saving
- Borrowing

Main covariates

Gender, age, education, income quintile, workforce status.

Financial inclusion indicators



Account ownership and digital payments are widespread, while saving and borrowing are less common.

Cross-country variation

Account ownership is close to universal in several Northern and Western European economies, but remains much lower in some Eastern and Southeastern European countries.

Key point

High European averages hide substantial differences across the 38 economies.

The sample includes both EU and non-EU economies, so it should not be interpreted as a euro-area sample.

Methodology

Linear probability models with country fixed effects:

$$Y_{ic} = \alpha_c + \beta_1 Female_{ic} + \beta_2 Age_{ic} + \beta_3 Age_{ic}^2 + \beta_4 Education_{ic} + \beta_5 Income_{ic} + \beta_6 Workforce_{ic} + \varepsilon_{ic}$$

- Survey weights are applied.
- Standard errors are clustered by country.
- Country fixed effects compare individuals within the same economy.
- Results are conditional associations, not causal effects.

Main results: account ownership

Characteristic	Estimated difference
Secondary education	**+7.9 p.p.**
Tertiary education	**+9.6 p.p.**
Richest income quintile	**+6.4 p.p.**
In the workforce	**+5.1 p.p.**

Female coefficient: -2.0 p.p.* $\longrightarrow$ -0.9 p.p.

The estimated gender difference becomes smaller and is no longer statistically significant after controlling for education, income and workforce status.

Main result. Education, income and workforce participation are positively associated with account ownership within European economies.

Alternative outcomes

Digital payments

Education and income are positively associated with digital payment use.

- Tertiary education: **+12.2 p.p.**
- Richest quintile: **+9.2 p.p.**
- No significant gender gap

Saving

The **largest socioeconomic differences** emerge for saving.

- Tertiary education: **+14.6 p.p.**
- Richest quintile: **+21.3 p.p.**
- Female: **–1.9 p.p.**

Borrowing

Education and income show **no clear or significant pattern**.

- Female: **–3.1 p.p.**
- In the workforce: **+6.2 p.p.**
- May reflect both access and financial need

Socioeconomic inequalities are more pronounced for the use of financial services, especially saving, than for basic account ownership.

Takeaways

1. Account ownership is high, but not equal across Europe.
2. Education, income and workforce status matter for financial inclusion.
3. Saving shows the largest socioeconomic gradient.
4. Borrowing is harder to interpret because it may reflect both access to credit and financial need.

Conclusion

Financial inclusion policy should focus not only on formal access, but also on the effective use of financial services.